Chapter three

<u>Demand:</u>

Definition

"Demand is the quantity of a commodity that consumers are willing and able to buy at a given price in a given period of time."

Key Elements of Demand

For demand to exist, the following elements are necessary:

Desire – The consumer must want the product.

Ability to pay – The consumer must have enough money to buy it.

Willingness to buy – The consumer must be ready to spend the money.

Given price – Demand is related to a specific price.

Given period of time – Demand is measured for a certain time period.

Example

If a consumer is willing and able to buy 5 kilograms of rice at a price of $1 per kilogram in a week, this quantity represents the demand for rice.

Law of Demand

The Law of Demand is one of the fundamental principles of economics. It explains the relationship between the price of a commodity and the quantity demanded.

Definition

"Other things remaining the same (ceteris paribus), when the price of a commodity increases, the quantity demanded decreases; and when the price decreases, the quantity demanded increases."

Explanation

The law of demand shows an inverse (negative) relationship between price and quantity demanded.

Price increases → Demand decreases

Price decreases → Demand increases

Example

Suppose the price of apples changes:

Price of Apples	Quantity Demanded
$5 per kg	2 kg
$4 per kg	4 kg
$3 per kg	6 kg

Here we see that when the price falls, the quantity demanded increases, which follows the law of demand.

Demand Function.

A demand function shows the mathematical relationship between the quantity demanded of a good and the factors that influence it.

General Demand Function

The demand function can be written as:

Qd = f (P, I, Pr, T, A, N)

Where:

Qd = Quantity demanded

P = Price of the commodity

I = Income of the consumer

Pr = Price of related goods (substitutes or complements)

T = Taste and preferences

A = Advertising

N = Number of consumers (population)

This means the quantity demanded depends on several factors, not only price.

Simple Demand Function

Often economists simplify it as:

$$Qd = a - bP$$

Where:

Qd = Quantity demanded

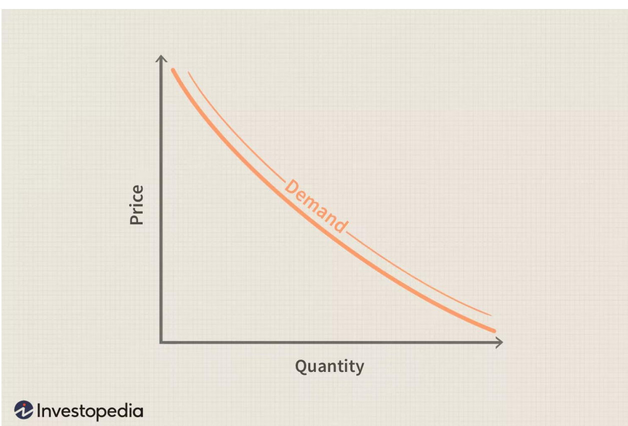
P = Price of the good

a = Constant (maximum demand when price is zero)

b = Slope coefficient showing the inverse relationship between price and demand

2. Demand Curve

A demand curve is a graphical representation of the relationship between price and quantity demanded.



The price is shown on the vertical axis (Y-axis).

The quantity demanded is shown on the horizontal axis (X-axis).

Characteristics of Demand Curve

It slopes downward from left to right.

It shows an inverse relationship between price and quantity demanded.

It represents the law of demand.

Example of Demand Schedule

Price	Quantity Demanded
10	2
8	4
6	6
4	8

From this schedule, when we draw a graph, we get a downward sloping demand curve.

Main Determinants of Demand

Price of the Commodity

The price of a good is the most important determinant of demand.

When price decreases, demand increases.

When price increases, demand decreases.

Income of Consumers

Changes in consumers’ income affect demand.

For normal goods, demand increases when income increases.

For inferior goods, demand decreases when income increases.

Price of Related Goods

Taste and Preferences

Consumers’ tastes, habits, fashion, and preferences can increase or decrease demand.

Population (Number of Consumers)

When the population increases, demand for goods and services generally increases.

Expectation about Future Prices

If consumers expect prices to rise in the future, they may buy more now, increasing current demand.

Advertising and Promotion

Effective advertising and marketing can increase demand for a product.

Season and Climate

Demand for some goods changes according to the season (e.g., warm clothes in winter).

Supply and Supply Function :

1. Supply

In economics, supply refers to the quantity of a good or service that producers are willing and able to sell at a given price during a specific period of time.

Definition

“Supply is the quantity of a commodity that producers are willing and able to offer for sale at a given price in a given period of time.”

Example

If the price of rice is $20 per kg and producers are willing to sell 100 kg in a week, then 100 kg is the supply of rice at that price.

Generally, there is a direct relationship between price and quantity supplied:

Price increases → Supply increases

Price decreases → Supply decreases

2. Supply Function

A supply function shows the mathematical relationship between quantity supplied and the factors that influence supply.

General Supply Function

The supply function can be written as:

$Qs = f(P, Pf, T, G, N)$

Where:

Qs = Quantity supplied

P = Price of the commodity

Pf = Price of factors of production (inputs)

T = Technology

G = Government policy (taxes, subsidies)

N = Number of producers

This means that supply depends on several factors, not only the price of the commodity.

Simple Supply Function

Often it is simplified as:

Qs = a + bP

Where:

Qs = Quantity supplied

P = Price of the commodity

a = Constant

b = Slope showing the positive relationship between price and supply

Law of Supply :

The Law of Supply states that other things remaining the same (ceteris paribus), when the price of a commodity increases, the quantity supplied increases; and when the price decreases, the quantity supplied decreases.

Explanation

There is a direct (positive) relationship between price and quantity supplied.

Price increases → Supply increases

Price decreases → Supply decreases

Producers are willing to supply more goods when the price is higher because it increases their profit.

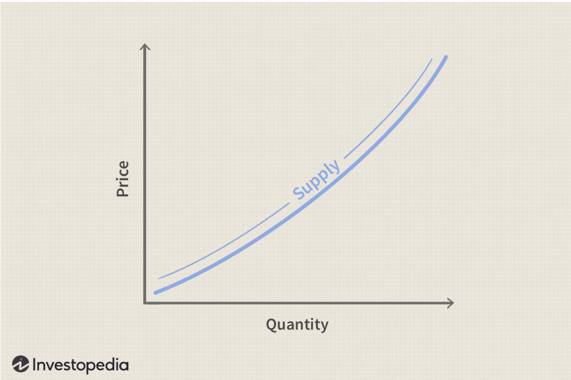
Example

Price	Quantity Supplied
10	2
15	4
20	6
25	8

Here we see that when the price rises, the quantity supplied also rises, which follows the law of supply.

Supply Curve

The supply curve is the graphical representation of the relationship between price and quantity supplied.



Price is shown on the Y-axis (vertical axis).

Quantity supplied is shown on the X-axis (horizontal axis).

The supply curve slopes upward from left to right, showing the positive relationship between price and supply.

Main Determinants of Supply

1.Price of the Commodity

The most important factor affecting supply.

Higher price → Producers supply more.

Lower price → Producers supply less.

2.Price of Factors of Production (Input Cost)

If the cost of raw materials, labor, or other inputs increases, the cost of production rises and supply may decrease.

3.Technology

Improved technology makes production easier and cheaper, which increases supply.

4.Government Policy

Taxes increase production costs and reduce supply.

Subsidies reduce production costs and increase supply.

5.Number of Producers (Sellers)

When more firms enter the market, the total market supply increases.

6.Prices of Related Goods

If the price of another product becomes more profitable to produce, producers may shift production, reducing supply of the original good.

7.Natural Conditions

Weather, climate, and natural disasters can affect supply, especially for agricultural products.

Expectations of Future Prices

If producers expect prices to rise in the future, they may reduce current supply and store goods for later sale.

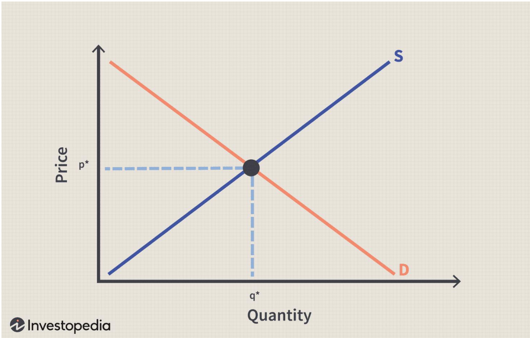
Market Equilibrium :

Market equilibrium occurs when the quantity demanded (Qd) is equal to the quantity supplied (Qs). At this point, the market price remains stable, and there is no excess demand or excess supply.

Condition of equilibrium:

Qd = Qs

1. Graphical Explanation of Market Equilibrium



Market equilibrium can be shown using a demand curve and a supply curve.

The demand curve (D) slopes downward from left to right.

The supply curve (S) slopes upward from left to right.

The point where the demand curve and supply curve intersect is called the equilibrium point (E).

At this point:

Equilibrium Price (Pe) is determined.

Equilibrium Quantity (Qe) is determined.

Explanation:

If the price is higher than equilibrium price, there will be excess supply (surplus).

If the price is lower than equilibrium price, there will be excess demand (shortage).

2. Mathematical Explanation of Market Equilibrium

Market equilibrium can also be determined mathematically by equating the demand function and supply function.

Example

Suppose:

Demand function:

$Qd = 20 - P$

Supply function:

$Qs = -4 + 2P$

At equilibrium:

Qd = Qs

So,

$20 - P = -4 + 2P$

$20 + 4 = 2P + P$

$24 = 3P$

$P = 8$

Now substitute the value of P in either demand or supply equation:

$Qd = 20 - 8 = 12$

So,

Equilibrium Price (P) = 8

Equilibrium Quantity (Q) = 12

Elasticity in Economics :

Elasticity measures how sensitive one variable is to changes in another variable. In economics, it usually refers to how quantity demanded or supplied changes when price, income, or other factors change.

1. Price Elasticity of Demand (PED)

Price elasticity of demand measures the responsiveness of quantity demanded to a change in the price of a good.

2. Income Elasticity of Demand (YED)

Definition: Measures the responsiveness of quantity demanded to a change in income.

3. Cross Elasticity of Demand (XED)

Measures the responsiveness of demand for one good when the price of another good changes.

4. Price Elasticity of Supply (PES)

Measures how quantity supplied responds to a change in price.

Islamic Concept of Need, Demand, and Supply :

In Islamic economics, the concepts of need, demand, and supply are viewed not only in terms of material transactions but also through the lens of Shariah principles, ethics, and social welfare.

1. Need (الحاجة – Hajah)

Definition:

A need is something essential for human life and well-being. Islam distinguishes between:

Basic necessities (Wajib/Essential) – Food, clothing, shelter, healthcare

Comforts (Haja/Desirable) – Education, transportation

Luxuries (Tamanni/Non-essential) – Entertainment, luxury goods

Key Points:

Needs should be satisfactorily fulfilled without extravagance.

Islam discourages hoarding or overconsumption that harms others or society.

Example: Providing enough food for oneself and family is fulfilling a need, while buying excessive luxury items is not fulfilling a "need" in the Islamic sense.

2. Demand (طلب – Talab)

Definition:

In Islamic economics, demand is the willingness and ability of people to acquire goods and services for lawful (halal) purposes.

Key Principles:

Demand should be for halal goods and services.

Excessive or speculative demand that causes harm, injustice, or market distortion (like hoarding or manipulating prices) is prohibited.

Demand is influenced by human needs, ethical values, and social responsibility, not just profit.

Example: Demand for food, clothing, and medicine is legitimate, but demand for gambling products is not permitted.

3. Supply (عرض – Ard)

Definition:

Supply in Islamic economics is the availability of goods and services in the market in accordance with lawful production and ethical practices.

Key Principles:

Goods must be produced ethically and lawfully (halal).

Exploitation of workers or use of unlawful means in production is prohibited.

Supply should aim to meet genuine needs, not just create artificial demand.

Hoarding or restricting supply to raise prices (monopoly) is forbidden (haram).

Example: A farmer supplying wheat to the market is fulfilling supply ethically. Hoarding wheat to increase prices during a shortage is prohibited.

4. Summary – Islamic Perspective

Concet

Conventional Economics

Islamic Economics

Need

Material or utility-based

Must satisfy basic human requirements ethically

Demand

Willingness and ability to buy

Must be for halal purposes, socially responsible

Supply

Quantity offered at a price

Must be halal, ethical, and sufficient to meet societal needs

1. Want – Utility (Conventional Economics)

Want:

A want refers to a human desire for goods and services. Wants are unlimited and continuously changing.

Utility:

Utility is the satisfaction or pleasure a consumer obtains from consuming a good or service.

Main Features

Based on individual preferences and desires.

Human wants are unlimited.

The main objective is utility maximization (maximum satisfaction).

Moral or religious considerations are usually not emphasized.

Example:

Buying luxury goods such as expensive cars or designer products may increase a person's satisfaction even though they are not basic necessities.

2. Need – Maslahah (Islamic Economics)

Need:

Need refers to goods and services that are essential for human life and well-being.

Maslahah:

Maslahah means human welfare or social benefit according to Islamic principles and Shariah.

Main Features

Consumption is guided by moral and Shariah principles.

Focuses on real human needs, not unlimited desires.

The objective is achieving welfare and social justice.

Discourages waste, extravagance, and harmful consumption.

Example:

Spending on food, shelter, education, and healthcare fulfills human needs and promotes social welfare.

Characteristics of consumer in an Islamic economy:

In an Islamic economy, the behavior of consumers is guided not only by personal satisfaction but also by moral, social, and religious principles derived from Shari'ah. Below are the key characteristics of a consumer in an Islamic economic system:

1. Faith-Oriented (Taqwa-Based Behavior)

A Muslim consumer is guided by Taqwa (God-consciousness). Consumption decisions are made with awareness of accountability to Allah in both this life and the Hereafter.

2. Halal and Haram Conscious

Consumers strictly follow what is Halal (permissible) and avoid Haram (forbidden) goods and services.

For example:

Halal food, ethical earnings

Avoidance of alcohol, gambling, interest-based products

3. Moderation (Avoidance of Extravagance and Miserliness)

Islam promotes a balanced lifestyle:

Avoid Israf (extravagance/wastefulness)

Avoid Bukhl (stinginess)

Consumers aim for moderation in spending.

4. Need-Based Consumption (Maslahah-Oriented)

In contrast to conventional economics (which focuses on unlimited wants), Islamic consumers prioritize:

Needs (Daruriyyat) over wants

Welfare (Maslahah) rather than pure utility maximization

5. Social Responsibility

Consumers consider the welfare of others:

Paying Zakat

Giving Sadaqah (charity)

Avoiding harmful consumption that affects society

6. Ethical and Moral Consideration

Consumption must be ethical:

No fraud, cheating, or exploitation

Preference for fair trade and honest business practices

7. Accountability in the Hereafter

Consumers believe they will be accountable for:

How they earn income

How they spend it

This creates responsible and conscious consumption behavior.

8. Balanced Worldview (Dunya and Akhirah)

Consumers seek success in both:

Dunya (worldly life)

Akhirah (hereafter)

So consumption is not purely materialistic.

9. Preference for Beneficial Goods

Consumers prefer goods that are:

Useful and beneficial

Not harmful to health, society, or environment

10. Simplicity and Contentment (Qana'ah)

Islam encourages:

Satisfaction with what one has

Avoiding unnecessary luxury and competition in consumption

11. Time and Resource Consciousness

Resources are seen as a trust (Amanah) from Allah:

Avoid waste of time, money, and natural resources

12. Prohibition of Riba-Based Consumption

Consumers avoid:

Interest-based loans for unnecessary consumption

Debt-driven lifestyle beyond their means

Difference between capitalist amd Islamic consumers behaviour :

Here is a clear and structured comparison between capitalist consumer behavior and Islamic consumer behavior:

1. Basic Objective

Capitalist Consumer:

Main goal is utility maximization (maximum satisfaction from consumption).

Islamic Consumer:

Seeks Maslahah (overall welfare), balancing satisfaction with moral and spiritual well-being.

2. Nature of Wants

Capitalist:

Wants are unlimited and always increasing.

Islamic:

Wants are controlled and limited by Shari'ah; priority is given to needs over wants.

3. Moral and Religious Consideration

Capitalist:

Consumption is generally value-neutral (no moral restriction unless imposed by law).

Islamic:

Strongly guided by Halal and Haram, ethics, and religious teachings.

4. Concept of Utility vs Welfare

Capitalist:

Focus on utility (pleasure/satisfaction) regardless of social or moral impact.

Islamic:

Focus on Maslahah (social good + moral benefit), not just personal pleasure.

5. Spending Behavior

Capitalist:

Encourages high consumption, even luxury and extravagance.

Islamic:

Promotes moderation (no Israf or waste) and discourages extravagance.

6. Source and Use of Income

Capitalist:

Income source is less emphasized; spending is based on ability.

Islamic:

Income must be Halal, and spending must also be in permissible ways.

7. Social Responsibility

Capitalist:

Focus mainly on individual benefit.

Islamic:

Emphasizes social welfare, including Zakat, charity, and helping others.

8. Accountability

Capitalist:

No concept of accountability after death; decisions are worldly.

Islamic:

Strong belief in accountability in the Hereafter (Akhirah).

9. Treatment of Resources

Capitalist:

Resources used to maximize personal satisfaction, often leading to overuse.

Islamic:

Resources are Amanah (trust from Allah), so must be used responsibly.

10. Debt and Interest (Riba)

Capitalist:

Interest-based borrowing is common and accepted.

Islamic:

Riba (interest) is prohibited, and debt is discouraged unless necessary.

11. Lifestyle

Capitalist:

Often promotes materialism and consumerism.

Islamic:

Encourages simple living, contentment (Qana'ah), and balance.

<u>Objectives of consumption in Islam:</u>

The objective of consumption in Islam is not limited to personal satisfaction; it is a balanced concept that combines material needs, moral values, and spiritual goals. Below are the key objectives explained clearly:

1. Attainment of Maslahah (Overall Welfare)

The primary objective is to achieve Maslahah (well-being):

Includes individual benefit + social welfare

Ensures consumption contributes to justice, harmony, and prosperity in society

2. Seeking the Pleasure of Allah

Consumption is considered an act of Ibadah (worship) when done correctly:

Following Halal guidelines

Avoiding Haram

Intention (Niyyah) matters in every consumption decision

3. Fulfillment of Basic Needs (Daruriyyat)

Islam prioritizes satisfaction of essential needs:

Food, clothing, shelter, healthcare, education

Ensures a decent standard of living for all

4. Balanced Satisfaction (Moderation)

Islam promotes a middle path:

Avoid Israf (waste/extravagance)

Avoid Bukhl (miserliness)

Encourages moderate and responsible consumption

5. Moral and Ethical Development

Consumption should:

Build good character

Avoid harmful or immoral goods (e.g., alcohol, gambling)

Promote honesty and fairness in economic life

6. Social Justice and Welfare

Consumption helps redistribute wealth:

Through Zakat, Sadaqah (charity)

Supports the poor and reduces inequality

7. Preparation for the Hereafter (Akhirah)

A Muslim consumer always considers:

Accountability for income and expenditure

Long-term success in the Hereafter

8. Efficient Use of Resources (Amanah Concept)

Resources are a trust from Allah:

Must be used wisely and efficiently

Avoid waste and environmental harm

9. Self-Discipline and Contentment (Qana’ah)

Consumption should develop:

Contentment with what one has

Avoidance of excessive desire and materialism

10. Promotion of Halal Economy

By consuming Halal goods:

Supports ethical businesses

Strengthens the Islamic economic system